The process of formation of company consists of different stages, which starts when a person envisage an idea to form a company and ends when a company gets a certificate from the Registrar of Companies after complying with the various provisions relating to the formation of a company. 'Formation of a Company' has been divided into four stages:

1. Promotion
2. Registration
3. Capital Subscription and
4. Commencement of Business.

Out of the four stages, the first two stages 'Promotion and Registration' are necessary for both public and private companies. A private company can start operating its business immediately after registration, but a public company has to pass through two more stages- capital subscription and commencement of business.

A public company can raise funds from the public by issuing shares. After following all the legal provisions of public issue, which are specified in The Company's Act, a public company can start operating of its business.

26.05 Share and Share Capital

The term "Capital" is viewed by a layman as the money, which a business persons invest in the business and in case of company raise the capital by issue of shares. They uses this money to meet its requirements by way of acquiring business premises and stock-in-trade, which are called the fixed capital and the circulating capital respectively. The phrase "loan or borrowed capital" is sometimes used to mean money borrowed by the company and secured by issuing debentures. This, however, is not the proper use of the word "capital".

In case of company limited by shares, the word "capital" means the share capital i.e., the capital in terms of rupees divided into specified number of shares each having fixed rupee value. For e.g. share capital of a company is Rs.10,00,000 which can be divided into 10,000 shares of Rs.100 each or 1,00,000 shares of Rs.10 each, whichever is reasonable to the company.

Share

The term Share is viewed by a layman as a fraction or portion of total capital of the company which have equal denomination. In simple, the total capital of the company is shared by many person and each share is having equal value.

According to Section 2(84) of the Companies Act, 2013, share means share in the "Share Capital of a company and includes stock except where a distinction between stock and share is expressed or implied"

Kinds of Share Capital

According to Section 43 of the Act, a company which is limited by shares can issue two classes of shares they are:

(i) Equity Share Capital:

a) With Voting rights or

b) With differential rights as to dividend, voting or otherwise in accordance with such rules as may be prescribed.

(ii) Preference Share Capital

Meaning of Equity Share

Those shares which are not called as preference share are known as Equity share or the share of a company which do not have any preferential rights with regard to dividend and repayment of share capital at the time of liquidation of a company.

Meaning of Preference Share

Section 42 of the Companies Act, 2013 the term 'preference shares' mean that part of the share capital the holders of which have a preferential right over payment of dividend (fixed amount or rate) and repayment of share capital in the event of winding up of the company.

12th Commerce Unit 10.indd 236 12/14/2020 2:55:33 PM